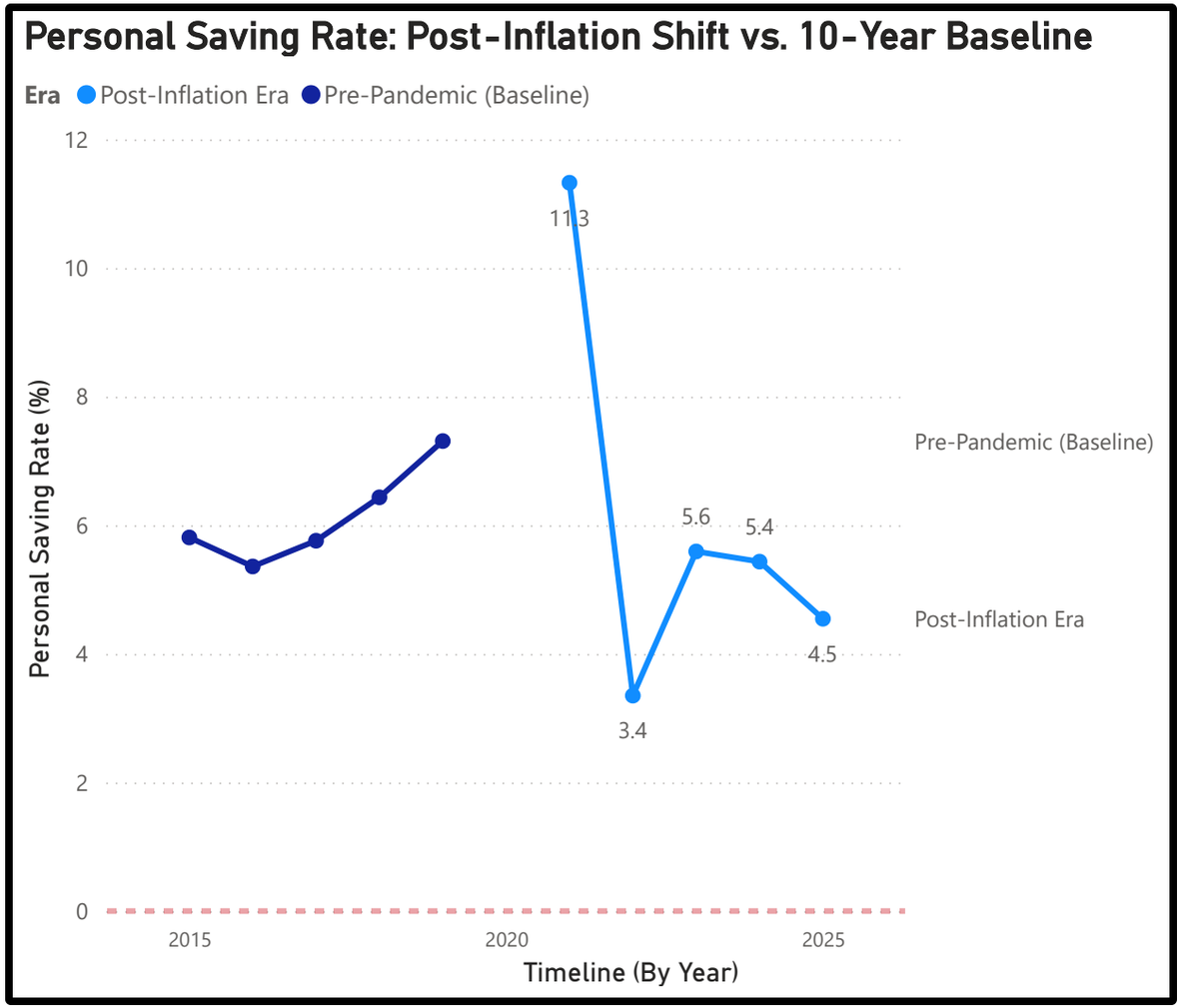
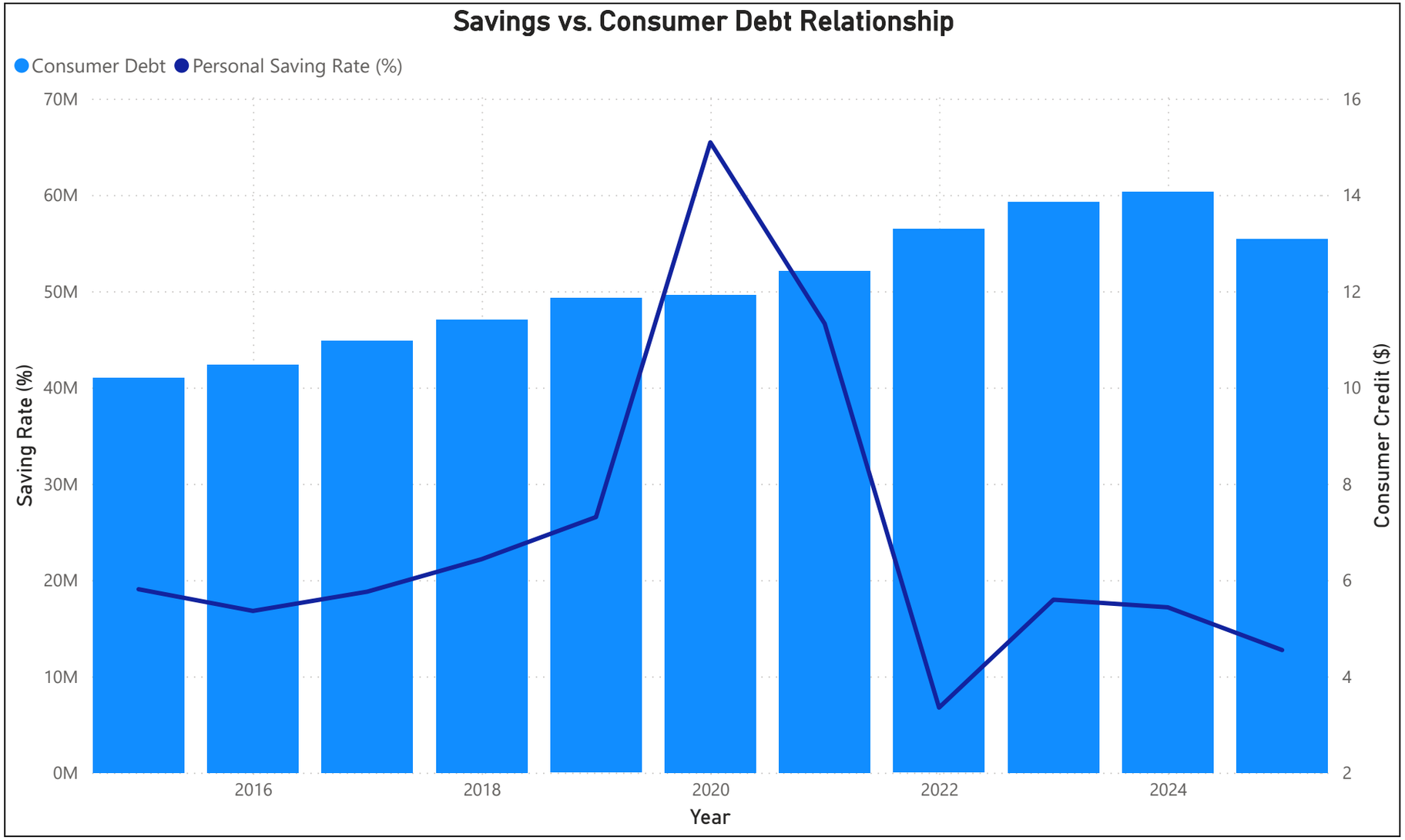


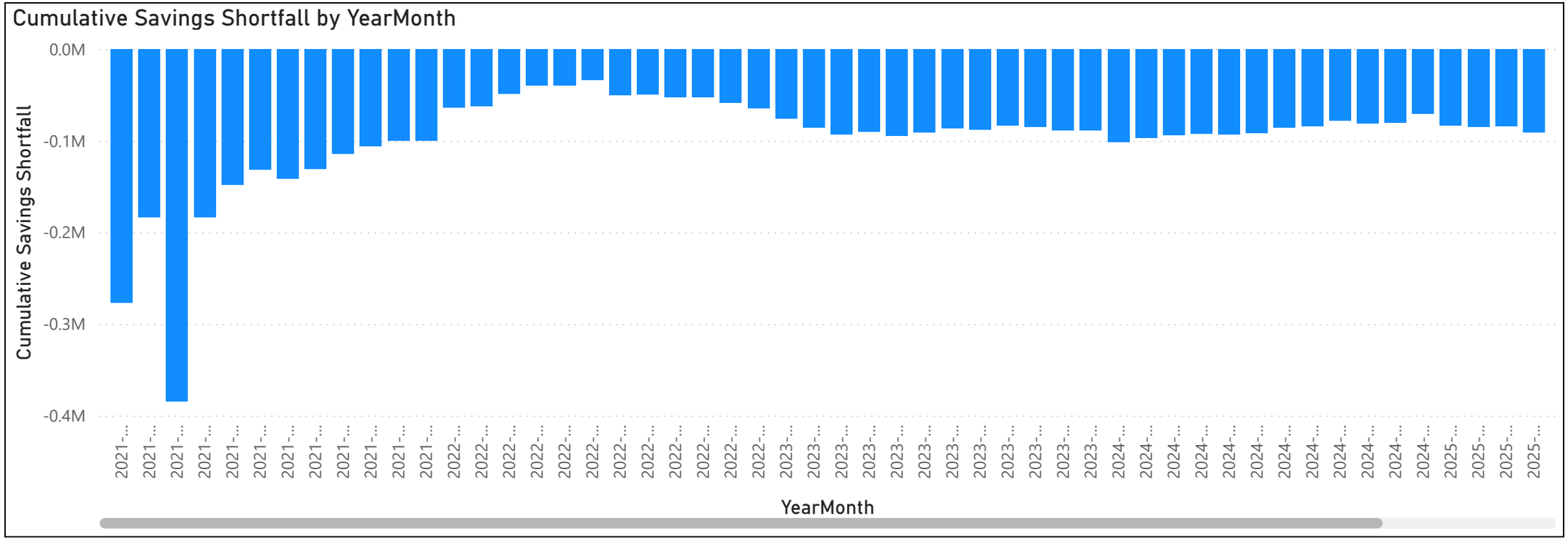
Savings hit a 10-year low here

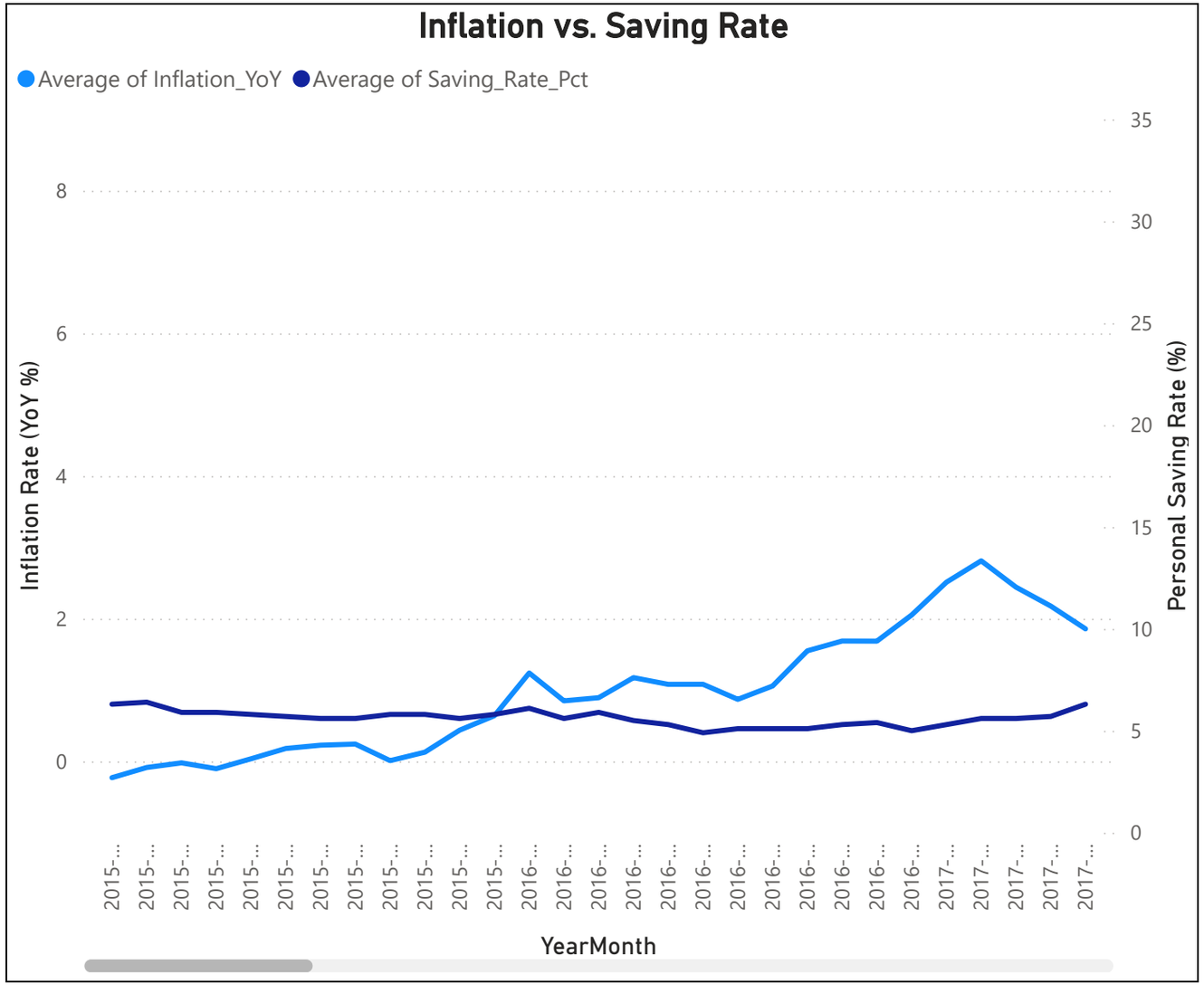

Savings vs. Consumer Debt Relationship
Consumer Debt
Personal Saving Rate (%)
70M
60M
50M
40M
30M
20M
10M
0M
Saving Rate (%)
16
14
12
10
8
6
4
2
Consumer Credit ($)
2016
2018
2020
2022
2024
Year

Total Savings Shortfall

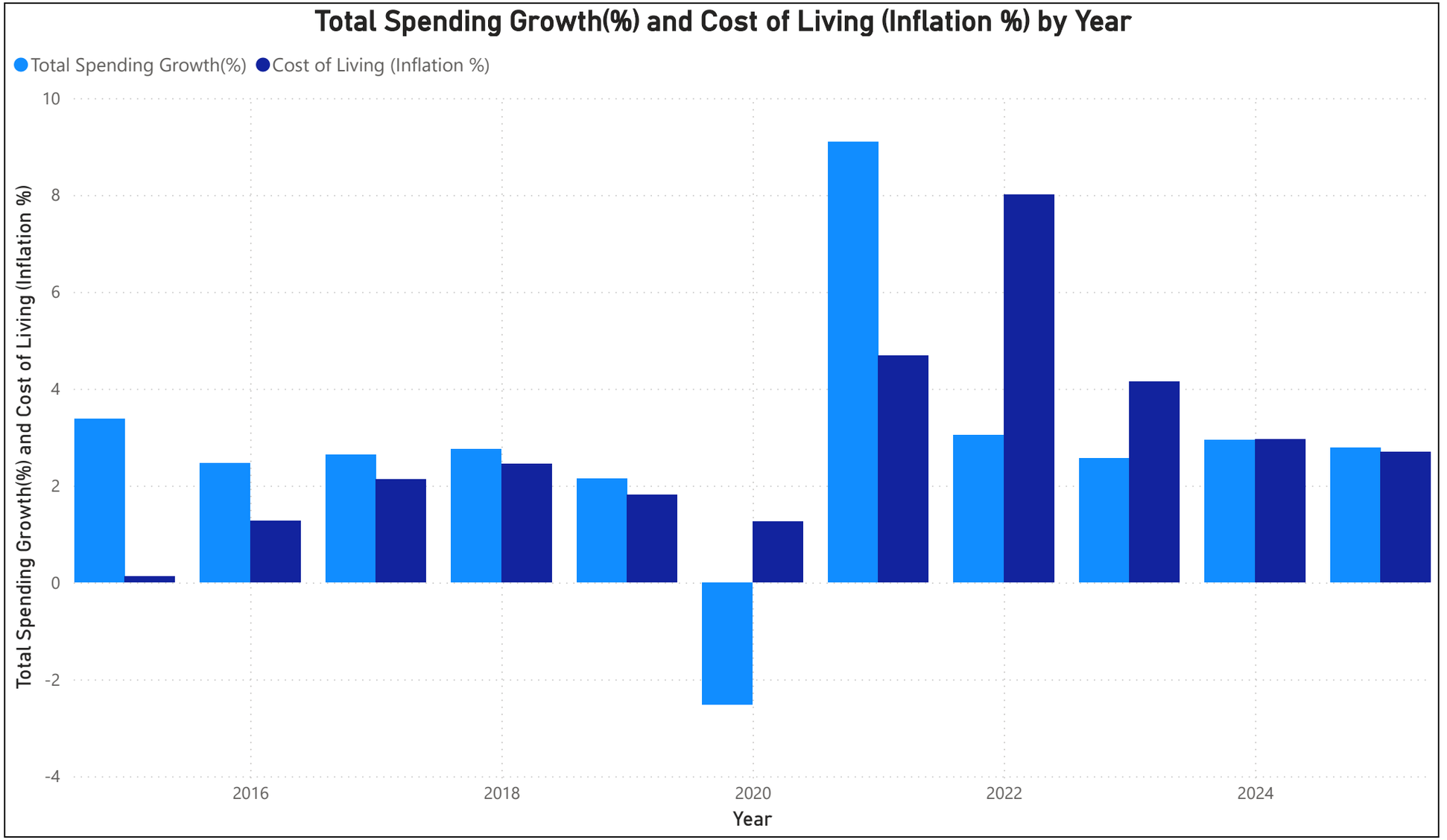
-1.61bn

Cumulative Savings Shortfall





As Inflation (YoY) peaked at nearly 9%, consumer purchasing power collapsed. This forced a structural shift where households moved from a 6% saving habit to nearly 2%, effectively using their 'future wealth' to pay for 'current survival'.


Total Spending Growth(%) and Cost of Living (Inflation %) by Year
Total Spending Growth(%)
Cost of Living (Inflation %)
10
8
6
4
2
0
-2
-4
Total Spending Growth(%) and Cost of Living (Inflation %)
2016
2018
2020
2022
2024
Year

U.S. Consumer Behavior Under Inflation

Total Savings Shortfall

-1.61bn

Cumulative Savings Shortfall

2022 Inflation Peak

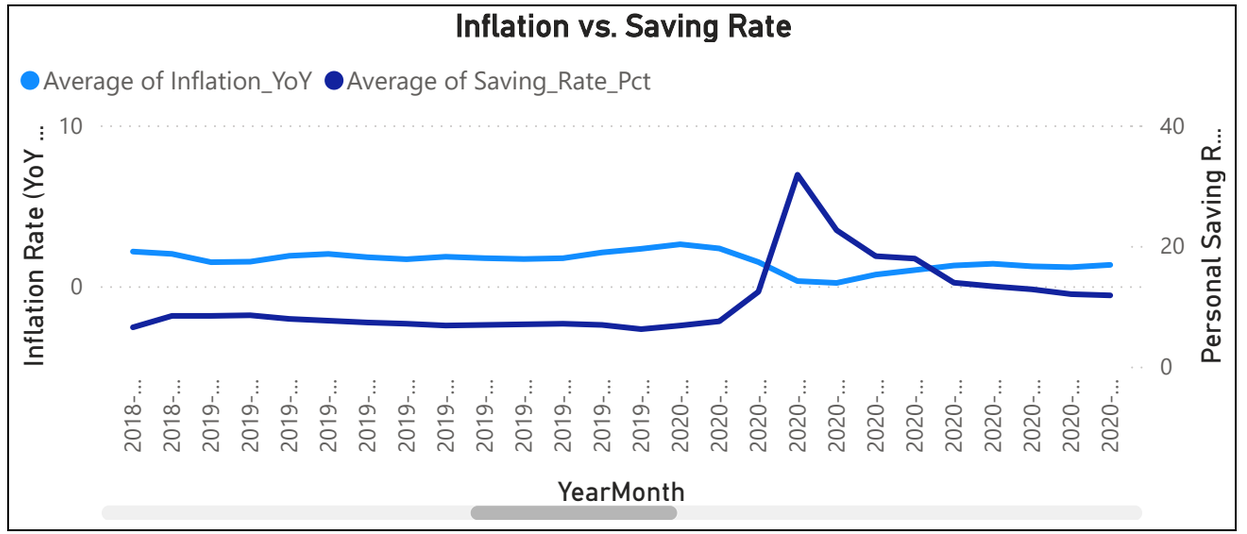
8.98 %

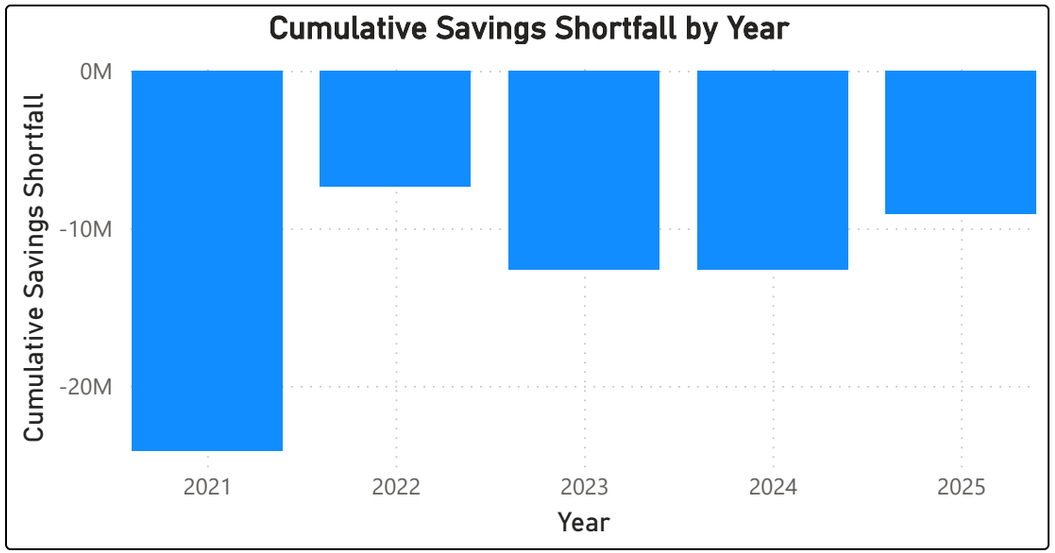
Max of Inflation_YoY

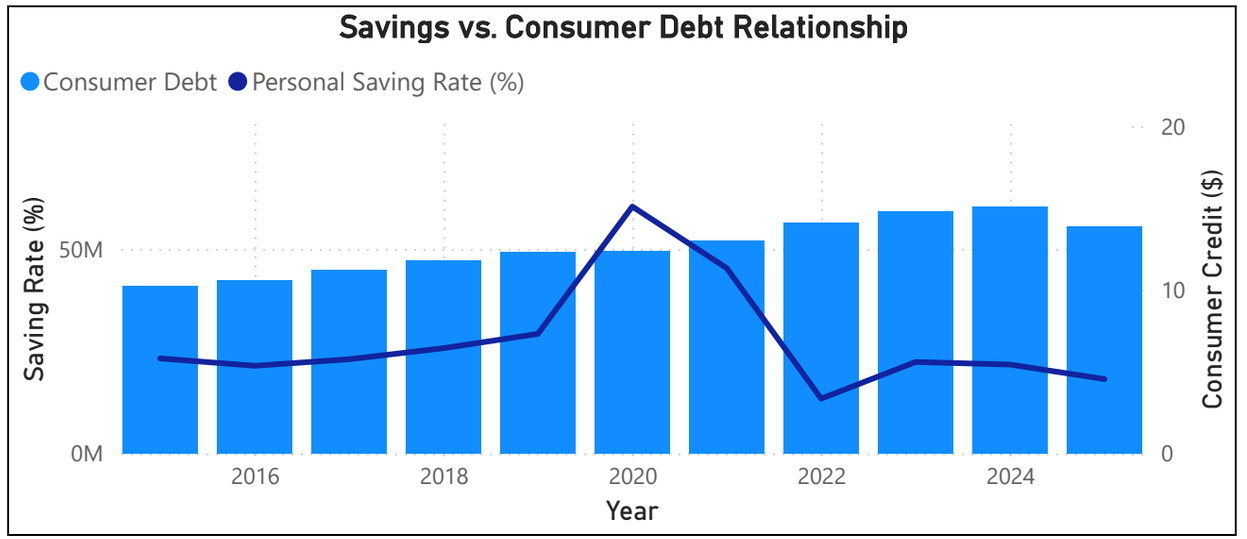
2024 Avg. Savings Rate

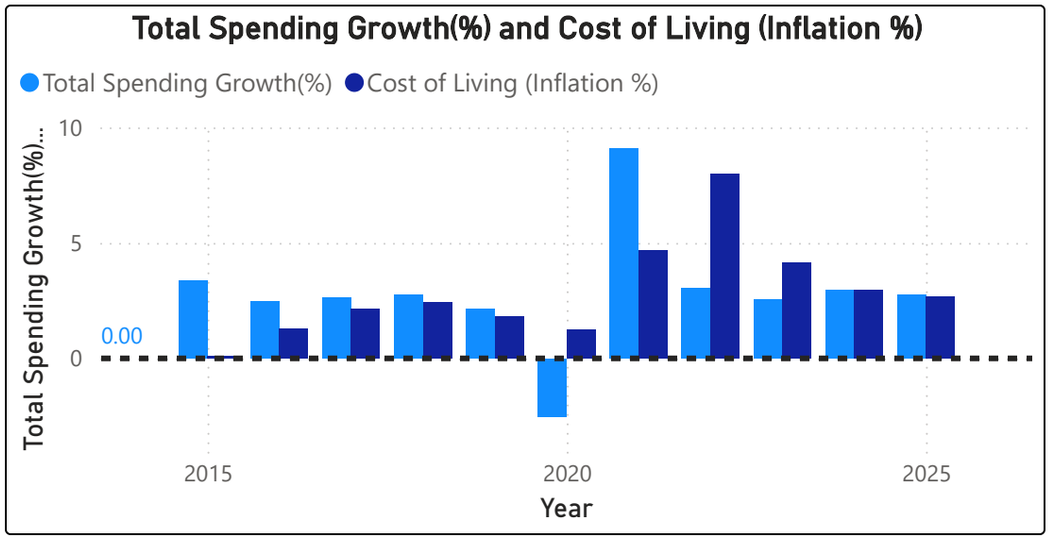
5.43 %

Average of Saving_Rate_Pct









The $1.61 Billion "Savings Gap" – A Structural Crisis (2021–2025)

American households have lost their savings cushion and are now relying on debt to keep up with rising costs.

1. What Happened (The "What")

- Savings have dropped sharply since 2021 as prices rose faster than incomes.
- Households saved **$1.61B less** than normal over the last four years.
- To maintain everyday spending, families shifted from saving to using credit cards and loans.

2. Why It Happened (The "Why")

- Inflation peaked near **9% in 2022**, wiping out most income gains.
- Even in 2024–2025, price increases continue to absorb nearly all new income.
- This left little room for saving, creating a long-term "savings gap."

3. Why It Matters Now (The "So What?")

- With savings depleted, households are more vulnerable to shocks (job loss, rate hikes).
- Rising debt increases the risk of delinquencies in 2025–2026.
- Spending growth is misleading — it reflects higher prices, not stronger consumer confidence.

4. What Could be done

- **Financial institutions:** Prepare for higher credit demand and monitor early delinquency signals.
- **Policy makers:** Focus on restoring real purchasing power, not just nominal spending growth.